

Defendant's Motion is denied.

However, Defendant to file Answer within 10 days of 8/4/26.

Court to file Order.

14. 9:00 AM CASE NUMBER: MSL18-05654  
CASE NAME: WILSHIRE COMMERCIAL CAPITAL, LLC VS PEELER  
HEARING IN RE:  
FILED BY:

**\*TENTATIVE RULING:\***

Defendant filed a Motion to Set Aside Entry of Default and Default Judgment.

Plaintiff filed a Response in opposition.

**Background**

Defendant cites Section 473(d) of the CCP as authority for the Motion, contending that he did not actually receive notice of process.

The procedural history of this case is that default judgment was entered in this county in 2019. The court takes judicial notice of this filing (specifically, 6/3/19).

**Analysis**

Authority for a court to set aside a default judgment lies in at least two different statutes of the CCP.

Section 473.5 of the CCP permits the court to set aside a default judgment where it finds that the defendant was not given actual notice of the process. There is a limitation within which Defendant can seek relief under this section, however, and that is no later than two years after the entry of the default judgment. (Section 473.5(a) of CCP.)

Section 473 of the CCP also grants this power. When a judgment was not the result of the party's mistake, negligence, inadvertence or surprise, the court can still grant a request to set aside a default judgment if it voids that the judgment is otherwise void. (See Sections 473(b) and 473(d).) While requests hinging on reasons of mistake or inadvertence have time limitation of 180 days, those for a void judgment do not have such a limitation.

However, what renders a judgment void such that it falls within the purview of Section

473(d) is relatively narrow.

"After six months ... an otherwise valid judgment may only be set aside for extrinsic fraud or mistake. Extrinsic fraud occurs when a party is deprived of his opportunity to present his claim or defense to the court, where he was kept in ignorance or in some other manner fraudulently prevented from fully participating in the proceeding. Examples of extrinsic fraud are: concealment of the existence of a community property asset, failure to give notice of the action to the other party, convincing the other party not to obtain counsel because the matter will not proceed (and it does proceed) ... Extrinsic mistake involves the excusable neglect of a party. When this neglect results in an unjust judgment, without a fair adversary hearing, and the basis for equitable relief is present, this is extrinsic mistake. Reliance on an attorney who becomes incapacitated, or incompetence of the party without appointment of a guardian ad litem, are examples of extrinsic mistake." (*In re Marriage of Varner* (1997) 55 Cal.App.4<sup>th</sup> 128, 140. (superseded by statute only in matters of family law).)

The only plausible theory for Defendant in the instant matter would be that the lack of actual notice, assuming it is true, resulted in excusable neglect, which qualifies as excusable mistake under Section 473(d), and thus permits Defendant to request a set aside at any time.

But this court finds such a construction of the statute to be incorrect. First, a lack of notice was certainly not one of the examples listed in *Verner*, but more importantly, to lend the statute Defendant's interpretation would be to make CCP 473.5 superfluous. What would be the necessity of CCP 473.5 and its time limitation when a defendant can simply make the identical claim at any time under CCP 473(d)? This clearly was not the intent of the legislature, and would contravene the canons of statutory interpretation.

This court finds that a default judgment where there was no actual notice to the defendant, but the defendant failed to raise the claim within two years of the date of entry of default, does not qualify as void judgment under Section 473(d).

### **Disposition**

Defendant's Motion is denied.

Plaintiff to file Order, and to serve copy of filed Order on Defendant.